26900101 **Reg.No : .....**

Name : .....

MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (Honours)/ MGU-BBA (Honours)/ MGU-BCA (Honours)

REGULAR EXAMINATION October 2026

Fifth SEMESTER

Skill Enhancement Course (SEC) - MG5SECBBA301 - AI FOR BUSINESS

(2024 ADMISSION ONWARDS)

Duration: 1 Hour **Maximum Marks: 35**

Remember(K), Understand(U), Apply(A), Analyse(An), Evaluate(E), Create(C), Skill(S), Interest(I) and Appreciation(Ap)

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A

MULTIPLE CHOICE QUESTIONS

Answer all questions

Each question carries **1** marks

1. Why is testing data used while developing an ML model? [U] / [CO1]

   a). To replace the training process

   b). To evaluate performance on previously unseen cases

   c). To remove every input variable

   d). To make the dataset larger without evaluation

2. What is a token in the context of an LLM? [K] / [CO1]

   a). A completed business decision

   b). A reward given to an employee

   c). A type of computer monitor

   d). A unit of text processed by the model

3. Which of the following is an example of Artificial Narrow Intelligence? [U] / [CO1]

a). A machine capable of performing every intellectual task like a human

b). A hypothetical machine more intelligent than humans in all fields

c). A chatbot designed to answer customer enquiries

d). A computer without specialised software

4. Which AI-enabled business model uses AI to connect groups such as buyers and sellers or drivers and passengers? [U] / [CO1]

a). Platform model

b). Manual production model

c). Traditional wholesale model

d). Paper-based service model

5. Why does Netflix personalise the artwork displayed for programmes? [U] / [CO1]

a). To calculate delivery charges

b). To detect banking fraud

c). To manage employee attendance

d). To help members notice and select relevant content

6. What does text normalisation attempt to achieve? [U] / [CO1]

a). Conversion of every sentence into audio

b). An increase in the volume of every document

c). Removal of all meaningful words

d). A consistent form of written data

7. Which task can be performed using Canva AI? [K] / [CO1]

a). Designing a business poster b). Repairing a computer

c). Delivering a product d). Conducting a bank transaction

8. A food-delivery platform displays an offer near the time a customer normally places an order. Which form of personalisation is illustrated? [U] / [CO1]

a). Product manufacturing | b). Timing personalisation | c). Credit scoring | d). Warehouse automation

9. What is automation bias in AI-assisted decision-making? [U] / [CO1]

a). The automatic correction of biased data

b). The inability of AI to produce any recommendation

c). A method of removing all human judgement

d). The tendency to trust an automated recommendation too readily

10. Which Industry 4.0 technology collects information from connected machines and devices? [K] / [CO1]

a). Internet of Things

b). Word processing

c). Manual bookkeeping

d). Desktop publishing

11. Which practice follows the principle of data minimisation? [U] / [CO2]

a). A newsletter collects only the subscriber’s email address

b). A newsletter collects medical history and bank details

c). A website copies the user’s entire contact list

d). A business collects data without deciding its purpose

12. What is an innovation ecosystem? [K] / [CO2]

a). A single employee working independently

b). A system used only for financial reporting

c). A network of organisations and people who cooperate to create innovation

d). A method of avoiding external partnerships

13. What is Green AI? [K] / [CO2]

a). Using AI only for agricultural | b). Designing and using AI in | c). Displaying AI systems using | d). Using AI without

businesses	an energy-efficient and environmentally responsible way	the colour green	considering resource consumption

14. Why are cross-functional teams useful in AI implementation? [U] / [CO2]

a). They bring together business and technical knowledge

b). They prevent departments from cooperating

c). They remove the need for project objectives

d). They ensure that only technical staff make decisions

15. How can AI assist in preparing a resume? [U] / [CO2]

a). By improving its language and organisation

b). By adding false qualifications

c). By inventing work experience

d). By removing the applicant’s real skills

16. AI helps an entrepreneur identify opportunities by analysing: [U] / [CO2]

a). Market trends and customer needs	b). Office wall colours	c). Employee dress styles	d). Printed stationery

17. Which body may supervise the responsible use of AI in an organisation? [K] / [CO2]

a). Sales promotion team	b). Ethics or governance committee	c). Transport department	d). Product-packaging team

18. AI-based discrimination may occur on the basis of: [K] / [CO2]

a). Gender and age	b). Language and region
c). Disability and economic background	d). All of the above

19. What are the benefits of AI in e-commerce? [U] / [CO2]

a). Easier product discovery	b). Faster shopping assistance	c). Improved online purchase experience	d). All of the above

20. Why can competition for AI professionals be a challenge? [U] / [CO2]

a). AI professionals are never required

b). Every employee is already an AI expert

c). AI projects require no specialised knowledge

d). Skilled AI professionals may be limited and expensive to recruit

[1x20 = 20]

Part B

CASE STUDY

Answer all questions

Each question carries **15** marks

21. SahayaMart's AI Transformation SahayaMart, a growing Indian retail chain, plans to introduce an AI system across its physical stores and online platform. The proposed system will study purchase records to forecast stock requirements, assist customers through a chatbot and help store managers make faster operational decisions. The management expects the project to reduce stock-outs, improve customer service and support business growth. A pilot study, however, reveals several concerns. Customer records contain missing entries, duplicate profiles and outdated contact details. Some stores have reliable internet connectivity and modern systems, while others use older computers. Employees fear that the technology may replace their jobs, and many managers have limited knowledge of AI. The company has not yet clearly assigned responsibility for checking AI-generated decisions. The pilot chatbot also performs differently across customer groups because its training data does not adequately represent all regional languages. Customers are not clearly informed about how their purchase histories and conversations will be used. SahayaMart therefore decides that employees must review important AI decisions, customers must receive clear information about data use, and staff must be trained to work effectively with the new system. Answer the following questions based on the case study: 1. Identify the major challenges that SahayaMart may face while implementing AI. Support your answer with evidence from the case. 2. Examine the bias and data-privacy concerns in the proposed AI system. Suggest suitable responsible AI measures. 3. Explain how human-AI collaboration can help SahayaMart introduce the system without weakening employee roles or managerial accountability. [A] / [CO2]

[15x1 = 15]